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CONSOLIDATED ANNUAL ACCOUNTS INDITEX GROUP 2025

Translation of consolidated annual accounts originally issued in Spanish and prepared in accordance with the regulatory financial reporting framework applicable to the Group in Spain (see below and Note 34). In the event of a discrepancy, the Spanish-language version prevails.



INDITEX

Consolidated income statement

(Amounts in millions of euros)	(Notes)	2025	2024
Net sales	(4)	39,864	38,632
Cost of sales	(5)	(16,642)	(16,288)
GROSS PROFIT		23,222	22,343
Gross profit percentage		58.3%	57.8%
Operating expenses	(6)	(11,878)	(11,555)
Other losses and income, net	(7)	(77)	(60)
GROSS OPERATING PROFIT (EBITDA)		11,267	10,728
Amortisation and depreciation	(8)	(3,270)	(3,174)
NET OPERATING PROFIT (EBIT)		7,997	7,554
Financial results	(9)	(80)	(77)
Results of companies accounted for using the equity method	(18)	102	99
PROFIT BEFORE TAXES (PBT)		8,020	7,577
Income tax	(25)	(1,800)	(1,700)
NET PROFIT		6,220	5,877
NET PROFIT ATTRIBUTABLE TO NON-CONTROLLING INTERESTS		-	11
NET PROFIT ATTRIBUTABLE TO THE PARENT		6,220	5,866
EARNINGS PER SHARE, euros	(10)	1.996	1.884

Consolidated statement of comprehensive income

(Amounts in millions of euros)	(Notes)	2025	2024
Net profit		6,220	5,877
Items that will be reclassified to the consolidated income statement in future years		-	-
Other comprehensive income recognised directly in equity:		-	-
Translation differences related to financial statements of foreign operations		(305)	(72)
Cash flow hedges		-	-
Profit	(26)	-	7
Loss	(26)	(12)	-
Tax effect		3	(2)
Total		(314)	(67)
Transfers to the consolidated income statement:		-	-
Cash flow hedges		-	-
Profit	(26)	-	1
Loss	(26)	(7)	-
Tax effect		2	-
Total		(5)	1
		-	-
Total comprehensive income for the period		5,901	5,811
		-	-
Total comprehensive income attributable to:		-	-
Equity holders of the Parent		5,901	5,800
Non-controlling interests		-	11
Total comprehensive income for the year		5,901	5,811

Consolidated balance sheet

(Amounts in millions of euros)	(Notes)	31/01/2026	31/01/2025
ASSETS		-	
NON-CURRENT ASSETS		19,947	18,358
Rights of use	(16)	5,542	5,269
Other intangible assets	(15)	1,643	1,411
Goodwill	(17)	197	196
Property, plant and equipment	(14)	11,135	10,005
Investment property		6	9
Financial investments	(18)	471	450
Other non-current assets	(19)	203	217
Deferred tax assets	(25)	750	800
CURRENT ASSETS		15,691	16,356
Inventories	(13)	3,249	3,321
Trade and other receivables	(12)	1,166	1,088
Income tax receivable	(25)	197	326
Other current assets		112	94
Other financial assets	(26)	8	25
Current financial investments	(21)	5,684	5,120
Cash and cash equivalents	(21)	5,276	6,382
TOTAL ASSETS		35,638	34,714
EQUITY AND LIABILITIES		-	
EQUITY		20,395	19,676
Equity attributable to the Parent		20,395	19,676
Equity attributable to non-controlling interests		-	-
NON-CURRENT LIABILITIES		5,071	4,851
Provisions	(22)	345	348
Other non-current liabilities	(23)	231	251
Financial debt	(21)	-	-
Non-current lease liability	(16)	4,394	4,180
Deferred tax liabilities	(25)	101	72
CURRENT LIABILITIES		10,172	10,187
Financial debt	(21)	2	7
Other financial liabilities	(26)	43	48
Current lease liability	(16)	1,539	1,542
Income tax payable	(25)	318	312
Trade and other payables	(20)	8,269	8,278
TOTAL EQUITY AND LIABILITIES		35,638	34,714

Consolidated statement of cash flows

(Amounts in millions of euros)	(Notes)	2025	2024
Profit before taxes		8,020	7,577
Adjustments to profit			
Amortisation and depreciation	(8)	3,270	3,174
Provisions for impairment		13	39
Results of companies accounted for using the equity method	(18)	(102)	(99)
Lease financial expenses	(9)	215	223
Others		204	111
Income tax paid		(1,585)	(1,539)
Funds from operations		10,034	9,486
Variation in assets and liabilities			
Inventories		9	(427)
Receivables and other current assets		(149)	(164)
Current payables		(663)	392
Changes in working capital		(803)	(198)
Cash flows from operating activities		9,232	9,288
Payments relating to investments in intangible assets		(519)	(465)
Payments relating to investments in property, plant and equipment		(2,193)	(2,207)
Payments relating to investments in companies		(16)	(14)
Collections relating to investments in other financial investments		60	55
Payments relating to investments in other financial investments		(6)	(4)
Payments relating to investments in other assets	(19)	(10)	(10)
Collections relating to investments in other assets	(19)	13	61
Changes in current financial investments		(545)	(705)
Cash flows from investing activities		(3,215)	(3,288)
Changes in current financial debt		(5)	(8)
Lease payments fixed charge		(1,834)	(1,802)
Dividends		(5,235)	(4,797)
Cash flows used in financing activities		(7,075)	(6,607)
Net increase in cash and cash equivalents		(1,058)	(607)
Cash and cash equivalents at the beginning of the year	(21)	6,382	7,007
Effect of exchange rate fluctuations on cash and cash equivalents		(48)	(18)
Cash and cash equivalents at the end of the year	(21)	5,276	6,382

Consolidated statement of changes in equity

(Amounts in millions of euros)

	Capital	Share premium	Retained earnings	Other reserves	Reserves of companies accounted for using the equity method	Treasury shares	Translation differences	Cash flow hedges	Subtotal	Non-controlling interests	Total equity
Balance at 1 February 2024	94	20	17,991	562	299	(92)	(231)	(1)	18,642	30	18,672
Profit for the year	-	-	5,866	-	-	-	-	-	5,866	11	5,877
Profit distribution	-	-	(72)	-	72	-	-	-	-	-	-
Dividends distribution	-	-	44	-	(44)	-	-	-	-	-	-
Transfers	-	-	5	-	-	-	(5)	-	-	-	-
Hyperinflation and other movements	-	-	(25)	-	2	-	24	-	1	-	1
Other comprehensive income for the year	-	-	-	-	-	-	(72)	6	(66)	-	(66)
· Translation differences related to foreign operations	-	-	-	-	-	-	(72)	-	(72)	-	(72)
· Cash flow hedges	-	-	-	-	-	-	-	6	6	-	6
Operations with equity holders or owners	-	-	(4,815)	9	-	45	(6)	-	(4,767)	(41)	(4,808)
· Non controlling interest acquisition	-	-	10	-	-	-	(6)	-	4	(41)	(37)
· Share-based payments recognition	-	-	-	85	-	-	-	-	85	-	85
· Share-based payments exercise	-	-	(28)	(76)	-	45	-	-	(59)	-	(59)
· Dividends	-	-	(4,797)	-	-	-	-	-	(4,797)	-	(4,797)
Balance at 31 January 2025	94	20	18,994	571	329	(47)	(290)	5	19,676	-	19,676
Balance at 1 February 2025	94	20	18,994	571	329	(47)	(290)	5	19,676	-	19,676
Profit for the year	-	-	6,220	-	-	-	-	-	6,220	-	6,220
Profit distribution	-	-	(99)	-	99	-	-	-	-	-	-
Dividends distribution	-	-	86	-	(86)	-	-	-	-	-	-
Transfers	-	-	(90)	-	-	-	90	-	-	-	-
Hyperinflation and other movements	-	-	(17)	-	(4)	-	15	-	(6)	-	(6)
Other comprehensive income for the year	-	-	-	-	-	-	(305)	(14)	(319)	-	(319)
· Translation differences related to foreign operations	-	-	-	-	-	-	(305)	-	(305)	-	(305)
· Cash flow hedges	-	-	-	-	-	-	-	(14)	(14)	-	(14)
Operations with equity holders or owners	-	-	(5,269)	53	-	40	-	-	(5,176)	-	(5,176)
· Share-based payments recognition	-	-	-	113	-	-	-	-	113	-	113
· Share-based payments exercise	-	-	(34)	(60)	-	40	-	-	(54)	-	(54)
· Dividends	-	-	(5,235)	-	-	-	-	-	(5,235)	-	(5,235)
Balance at 31 January 2026	94	20	19,825	624	338	(7)	(490)	(9)	20,395	-	20,395

CONSOLIDATED DIRECTORS' REPORT 2025

At 31 January 2025
(Amounts expressed in millions of euros)



INDITEX

Situation of the entity

The information relating to the 'Situation of the entity' is detailed in section SBM. Strategy in the Inditex Group's Consolidated Statement on Non-Financial Information and Sustainability Information.

Organisational structure

Inditex's corporate governance is mainly articulated through the following institutional and operational bodies and mechanisms:

/ General Meeting of Shareholders

/ Board of Directors

/ Management Committee

/ Audit and Compliance Committee

/ Nomination Committee

/ Remuneration Committee

/ Sustainability Committee

/ Market Transparency Committee

/ Ethics Committee

On the other hand, Inditex relies on three permanent advisory internal bodies made up of external members:

/ Sustainability and Inclusion Advisory Committee (formerly Social Advisory Board)

/ Cybersecurity Advisory Committee

/ International Advisory Board

Business performance and results

Key financial and non-financial indicators

The Group continues to focus on four key areas: A unique product proposition, enhancing the customer experience, sustainability, and the talent and commitment of our people.

In 2025, Inditex continued with a robust operating performance. The innovation, diversification and flexibility of our integrated model underpin consistent sales growth and sustained profitability. Sales, EBITDA and net income reached new highs.

In 2025, the collections were well received by our customers. Sales grew 3.2% to reach €39.9 billion, showing very satisfactory development both in stores and online. Sales were positive in all concepts and in constant currency, in all geographical areas. Sales in constant currency grew 7.0%.

As a function of our Retail Optimisation strategy, which has been in place for many years, the quality of our store base has been continuously increasing over many years. In view of this, sales have grown 22% on a reported basis over the last 3 years, while the number of stores has been reduced by 6% (net space +6%), further reinforcing the consistency of our long-term growth.

In 2025, gross space increased 5.3%.

Total Selling Space (m2)	2025	2024
Zara (Zara, Zara Home and Lefties)	3,180,596	3,140,105
Pull&Bear	407,073	396,522
Massimo Dutti	215,323	219,611
Bershka	493,680	481,556
Stradivarius	328,122	319,720
Oysho	95,909	93,061
Total	4,720,703	4,650,575

Inditex opened stores in 41 markets in 2025. During the year, the Group remained very active in store optimisation activities (190 openings, 217 refurbishments which include 96 enlargements and 293 absorptions). At the end of FY2025 Inditex operated 5,460 stores.

A list of the number of stores by concept is included in the table below:

Concept	31/01/2026	31/01/2025
Zara	1,500	1,550
Zara Home	374	391
Lefties	215	209
Pull&Bear	791	800
Massimo Dutti	511	528
Bershka	852	854
Stradivarius	834	835
Oysho	383	396
Total	5,460	5,563

Company-managed stores and franchised stores at the end 2025:

Concept	Company Managed	Franchised	Total
Zara	1,265	235	1,500
Zara Home	281	93	374
Lefties	164	51	215
Pull&Bear	618	173	791
Massimo Dutti	389	122	511
Bershka	680	172	852
Stradivarius	632	202	834
Oysho	281	102	383
Total	4,310	1,150	5,460

Sales in company-managed and franchised stores:

Concept	Company Managed	Franchised
Zara (Zara, Zara Home and Lefties)	87%	13%
Pull&Bear	83%	17%
Massimo Dutti	80%	20%
Bershka	86%	14%
Stradivarius	83%	17%
Oysho	80%	20%
Total	86%	14%

A list of the stores' locations by concepts and by market at 31 January 2026 is included in Annex III.

Online sales grew at 4.8% to reach €10.7 billion.

The integration of our store and online operations enables us to deliver a seamless global omnichannel experience.

Net sales by concept are shown in the table below:

Concept	2025	2024
Zara (Zara, Zara Home and Lefties)	28,051	27,778
Pull&Bear	2,546	2,469
Massimo Dutti	2,019	1,960
Bershka	3,286	2,930
Stradivarius	3,002	2,664
Oysho	960	831
Total	39,864	38,632

Store & Online sales by geographical area are shown in the table below:

Area	2025	2024
Europe ex-Spain	51.3%	50.6%
Americas	17.8%	18.6%
Asia & RoW	15.0%	15.7%
Spain	15.9%	15.1%
Total	100%	100%

The execution of the business model has been very strong. Gross profit increased 3.9% to €23.2 billion. The gross margin reached 58.3% (+42 bps).

All expense lines have shown a favourable evolution. Operating expenses increased 2.8%, 39 bps below sales growth. Including all lease charges, operating expenses grew 51 bps below sales growth.

	2025	2024
Personnel expenses	5,914	5,643
Rental expenses	1,085	1,072
Other operating expenses	4,879	4,840
Total	11,878	11,555

Including all lease charges, rental expenses grew 1.6%.

EBITDA reached €11.3 billion (+5.0%), EBIT came to €8.0 billion (+5.9%).

The following chart shows the breakdown of financial results:

	2025	2024
Net financial income (losses)	184	312
Lease finance costs	(215)	(223)
Foreign exchange gains (losses)	(49)	(166)
Total	(80)	(77)

Results from companies consolidated by the equity method came to €102 million.

PBT increased 5.8% to €8.0 billion. The breakdown of PBT by concept is shown below:

Concept	2025	2024
Zara (Zara, Zara Home and Lefties)	5,601	5,407
Pull&Bear	422	458
Massimo Dutti	434	402
Bershka	657	548
Stradivarius	707	616
Oysho	198	146
Total	8,020	7,577

The PBT margin reached 20.1%.

Net income increased 6.0% versus 2024 to €6.2 billion.

Return on Equity attributable to the Parent (ROE), defined as net profit attributable to the Parent divided by average equity attributable to the Parent for the current and previous financial years:

	2025	2024
Net profit attributable to the Parent	6,220	5,866
Equity attributable to the Parent - previous year	19,676	18,642
Equity attributable to the Parent - current year	20,395	19,676
Average Equity attributable to the Parent	20,036	19,159
Return on Equity attributable to the Parent	31%	31%

Return on Capital Employed (ROCE), defined as PBT divided by average capital employed in the year, calculated as the average of equity attributable to the Parent in the current and previous years, plus average net financial debt for the year:

	2025	2024
Profit before taxes (PBT)	8,020	7,577
Average capital employed:		
Average Equity attributable to the Parent	20,036	19,159
Average net financial debt (*)	-	-
Total average capital employed	20,036	19,159
Return on Capital employed	40%	40%

(*) Zero when net cash

Return on Capital Employed by concept:

Concept	2025	2024
Zara (Zara, Zara Home and Lefties)	36%	36%
Pull&Bear	40%	48%
Massimo Dutti	56%	51%
Bershka	50%	45%
Stradivarius	72%	70%
Oysho	63%	51%
Total	40%	40%

To complement the financial statements included in the consolidated annual accounts of the Inditex Group, attached there is Annex II showing the 2025 quarterly results.

Issues relating to sustainability and employees

This document includes the Group's Consolidated Statement on Non-Financial Information and Sustainability Information, which includes information about issues relating to sustainability and employees throughout the document.

Liquidity and capital resources

Given the strong execution of the business model, lease adjusted funds from operations grew 7%.

	2025	2024
Funds from operations(*)	8,200	7,684
Changes in working capital	(803)	(198)
Cash from operations	7,398	7,486
Capital expenditure	(2,712)	(2,672)
Free Cash Flow	4,686	4,814

*The cash lease payments fixed charge has been added back.

The net cash position at the end of the period was €11.0 billion.

	31/01/2026	31/01/2025
Cash and cash equivalents	5,276	6,382
Current financial investments	5,684	5,120
Current financial debt	(2)	(7)
Non current financial debt	-	-
Net financial cash (debt)	10,958	11,495

Inventory was 2% lower as of 31 January 2026 versus the same date in 2025. Initial Spring/Summer collections are considered to be of high quality.

	31/01/2026	31/01/2025
Inventories	3,249	3,321
Trade and other receivables	1,166	1,088
Trade and other payables	(8,587)	(8,590)
Operating working capital	(4,173)	(4,181)

Capital expenditure for FY2025 including the extraordinary investments came to €2.7 billion.

The Group's capital structure is characterised by the low debt/equity ratio as a result of the practically non-existent financing and the strength of its equity.

The Group's organic growth and its CAPEX needs have been financed substantially in full with the funds generated by the business, which has enabled the Group to maintain its solid cash position.

The Group considers that no changes will arise with regard to the generation and management of liquidity in the coming year.

Additionally, the Group has available credit lines, against which no amounts have been drawn down (Note 21 to the Consolidated Annual Accounts), that guarantee access to such additional funds as might be required.

Analysis of contractual obligations and off balance sheet transactions

The section 'Information on the outlook for the Group' outlines the projected execution of investments, mainly in stores, for the next financial year. However, at year-end there were no firm investment commitments of a material amount.

Main risks and uncertainties

In order to facilitate unified and comprehensive risk management, the Group has established a common definition of risk for the Organisation as a whole. Accordingly, the Group defines a risk as 'any potential event that may have a negative impact on the achievement of the business objectives'.

The risks reviewed are classified and grouped in the following categories:

Financial risks

Financial risks are threats originating in the macroeconomic sphere, financial markets, global value chains and industry- or company-specific events that may prevent the proposed objectives from being attained.

The normal functioning of the Group's operations exposes it to risks of a financial nature. This category includes market risk, foreign currency risk, counterparty risk, inflation and risk relating to raw material price increases, economic contraction and the competitive environment. The euro is the Group's presentation currency. Its international transactions require the use of numerous non-euro currencies giving rise to foreign currency risk. The Group has investments overseas whose assets are exposed to the foreign currency exchange risk. Given that the Group consolidates the annual accounts of all its companies in its presentation currency, i.e., in euros, it is exposed to foreign currency risk in the translation of the results of all its entities located outside the Economic and Monetary Union. The Company is also exposed to the risk arising from the payment and collection flows in currencies other than the euro in relation to the acquisition and provision of goods and services in both Group and non-Group transactions.

The Group is exposed to counterparty risk from its suppliers of goods and services, as well as from its customers and business partners which could impact the normal performance of some of its operations. The majority of its revenue relates to retail sales which are collected on demand, either in cash or through a credit card. There are therefore no significant concentrations of credit risk. The financial solvency of the Group's most important third parties is analysed and monitored as part of an analysis process that also encompasses legal, compliance, reputational and other aspects. The Group is also exposed to the risk that counterparties (mainly financial) fail to comply with their obligations in relation to investing the Company's liquidity, credit policies or other funding and guarantee vehicles, as well as the derivative instruments arranged to hedge financial risks.

Interest rate and liquidity risk are also assessed. The Group manages cash at corporate level based on a highly active repatriation policy aimed at reducing the aforementioned risks to a minimum, also taking into account sovereign or jurisdiction risk. Consideration is also given to the potential impact of inflation affecting costs linked to the acquisition

of goods and services. In this regard, it is worth noting the increase in the price of the many raw materials consumed directly and indirectly in the Group's operations and in its procurement of goods and services. The Group is monitoring the evolution of the raw material markets. It actively manages their impact, taking advantage of the flexibility of our business model, which enables the diversification of sources and the adaptability of the value chain based on expected demand forecasting.

Lastly, this category includes risks relating to the competitive environment, meaning the difficulties in adapting to the environment or market in which the Group operates, as regards both the procurement processes and the product retailing and sale activities. It consists of the Group's possible inability to follow and respond to changes in its target market or to adapt to new situations in its supply or distribution countries, considering the difficulties involved in recognising and taking on board the ongoing changes in fashion trends, and in manufacturing, supplying and marketing new items that meet customer expectations. The optimal achievement of business objectives may be shaped by a potential decline in sales resulting from an economic downturn, whether global or limited to one or more of the markets in which the Group operates.

Geopolitical risks

Geopolitical risks arise from a deterioration in the political situation, society's crime levels, changes in the ideology, leadership and regulation of its authorities, politically motivated conflicts at home or between nation states that threaten operations or expected prospects.

Potential instability in the territories where the Group's supply chains are located, as well as where products are marketed, is a significant risk. Sometimes instability manifests itself through frictions that hinder the normal movement of goods during the transport process, whether due to sociopolitical instability, infrastructure saturation or constraints, especially on key routes, which generate bottlenecks due to supply-demand imbalances that limit access to transport and/or erode business margins.

The business model is based on a value chain with multiple geographic origins. The Group's integrated sales model enables it to operate in more than two hundred markets, which ensures a significant level of diversification and resilience. As a result of its broad geographic presence, the Group is directly or indirectly exposed to multiple legislations in the countries where it operates (tax, customs, labour, trade and consumer, industrial and intellectual property, personal data protection and privacy regulations). Regulatory changes, as well as differing or even divergent treatment of legal facts in different jurisdictions, expose the Group to potential negative effects of a financial, compliance and/or reputational nature.

Developments in the geopolitical situation in the Middle East could impact the Group's economic and operating environment, as well as the normal course of its operations in the region. The Group is continuously monitoring these events and assessing their potential effects on results and cash flows (Note 2 to the consolidated annual accounts).

Technological risks

The technological risk category includes those risks arising from the intensive use of technological systems to conduct the Group's operating and commercial processes, as well as the need for continuous adaptation to technological innovations in a constantly evolving environment.

These risks include, among others, those related to technological infrastructure, information management, communication networks and systems, and the physical and logical security of information systems, including the risk of cyberattacks, which might affect the confidentiality, integrity and availability of critical data.

Given the high degree of digitalisation and technological integration of the business model, any occurrence of technological incidents — deriving, among other factors, from failures in infrastructure, cybersecurity events, software errors or difficulties in interaction with technological third parties — could have a transversal impact on the Group's activity, affecting the normal course of operating and commercial processes.

Likewise, the ability to adapt to technological innovations and developments in a broad sense, including the digitalisation of customer interactions and the continuous improvement of internal processes, is key to ensuring the Group's competitiveness in a highly dynamic environment. In such a landscape, the emergence of new technologies, such as artificial intelligence, opens up a significant opportunity to optimise processes. However, it can also alter the profile of certain risks, so it requires careful consideration as part of the broader risk control and management framework.

Environmental risks

Environmental risks are risks associated with natural disasters, climate change and the interactions resulting from human exploitation of the environment.

Key operations pertaining to business and transport processes could be paralysed as a result of natural disasters (floods, fires, earthquakes, etc.), especially if they affect the Group's critical infrastructures. The Group's performance is exposed to the potential impact of climate change in its various manifestations of physical risk, whether chronic or acute, as well as the risks resulting from the transition to a low-carbon economy.

In this regard, significant changes in weather cycles may affect consumer demand patterns and the supply and demand of textile raw materials used to manufacture the garments, among others. There are potential financial and reputational risks associated with the nature, speed and focus of policy, legal, technological and market changes as society transitions to a low-carbon economy.

There is also a risk arising from the potential adverse environmental effects of the Group's value chain due to the discharge of undesirable or hazardous substances, or potentially resulting in biodiversity loss, deforestation, soil degradation, shortage of raw materials, among others.

Social risks

The category of social risks includes risks arising from socio-economic trends, including the evolution of preferences in societies, social norms, demographics, as well as the prevalence of diseases and the development of public healthcare systems.

Human resource-related risks pertain to the necessity to adapt the organisational culture to the needs of staff in a new and complex environment, where the sustainability of human capital becomes more relevant and which aims to ensure the quality of employment, health and well-being of staff, work-life balance, diversity, and other factors.

This category includes the risk of infectious diseases. It corresponds to the potential disruption caused by a local, regional or global pandemic as a result of infectious diseases against which there is little or no pre-existing immunity in the human population.

Lastly, this category also includes risks which have a direct influence on the perception of the Group by its stakeholders (customers, employees, shareholders and suppliers) and society in general. They arise from the possibility of the inappropriate management of issues relating to corporate ethics, social and environmental sustainability, responsibility for the health and safety of the products, the corporate image of the Group, as well as its image in social networks, and any other potential breach that might have an impact on the Organisation's reputation.

Governance risk

Governance risks include a set of risks of a different nature. These include non-compliance by the Company, and in particular by its Board of Directors and Senior Management, with the law in a formal or material sense; good governance guidelines and 'best practices'; as well as the commitments that Inditex voluntarily undertakes as a business, and the risks resulting from the tactical and strategic decisions of the Group's Management that may result in the non-fulfilment of the business objectives of the functional areas or of the Group, as well as regulatory risks of a criminal nature, such as crimes related to corruption, fraud and/or bribery, or any other damage to the reputation of the Company.

Risk management in the Group is a process promoted by the Board of Directors and Senior Management and is the responsibility of all members of the Group, the purpose of which is to provide reasonable assurance that the objectives established by the Group will be achieved as a response to the social and environmental challenges, furnishing all stakeholders with sufficient guarantees to ensure that the value generated will be protected.

In this context, the Group's Integrated Risk Management System ('IRMS') is based on the Enterprise Risk Management Policy, which sets out the basic principles, key risk factors and the general framework for risk management and control.

The Enterprise Risk Management Policy is implemented and complemented by specific policies and internal regulations relating to certain units or areas of the Group. The policies and internal regulations developed and implemented by these areas for the management of the different types of risks include: the Financial Risk Management Policy, the Code of Conduct, the Code of Conduct for Manufacturers and Suppliers, the Criminal Risk Prevention Policy, the Sustainability Policy, the Information Security Policy, the Human Rights Policy, the Diversity and Inclusion Policy, the Compliance Policy, and the Anti-Money Laundering and Terrorist Financing Policy, among others.

For more information in section [Enterprise Risk Management \(ERM\)](#) on the Annual Corporate Governance Report Section

Significant events after the reporting period

At the end of February 2026, tensions in the Middle East escalated on the back of military operations in the region. At the date of preparation of consolidated annual accounts, this situation persists and could affect the normal course of the Group's operations in this area, as well as general status of international markets. Management is continuously monitoring these events and assessing their potential effects on the Group's results and cash flows.

Information on the outlook for the Group

Spring/Summer 2026 collections have been very well received by our customers. Store and online sales in constant currency increased 9% between 1 February and 8 March 2026 versus the same period in 2025.

Our priority remains the continued improvement of our fashion proposition, the level of customer care, our focus on sustainability and cultivating our world-class teams. The broad diversification of the Group by channel, geography and concept will underpin the long-term growth potential.

The business model we enjoy, characterised by flexibility, responsiveness and within-season proximity sourcing, permits us to react to fashion trends reinforcing our unique market position. By continually investing in stores, the global online channel and our centralised logistics platforms, with an accompanying focus on sustainability, we will continue to generate long-term growth.

In order to extend our differentiation further we are developing a number of initiatives in key areas for the coming years.

/ Product Proposition

We will continue focusing on the creativity, quality and design of all our products and reinforcing the commercial initiatives of all our concepts.

The collections show our strong commitment to creativity, thanks to our talented teams that are focused everyday on innovation and adaptation to what our customers are looking for.

In line with previous years, we continue rolling out special projects in collaboration with some of the most powerful talents of fashion, art and culture.

/ Customer experience

We will continue to offer the best shopping experience to our clients.

Regarding our stores, Zara has recently made important relocations and refurbishments including Copenhagen Vimmelskiftet, Boston Newbury Street and Shanghai East Nanjing Road.

The rest of the concepts also continue to execute relevant projects. Two examples of this are the Oysho's high street store Hackescher Markt, Berlin (Germany) and Massimo Dutti's relocation to Zara's previous store in Pireas, Athens (Greece).

In terms of new markets in 2026, the Group will launch its first store in Curaçao. The rest of the concepts will be very active in 2026. Bershka will open its first stores in Brazil and the United States. Massimo Dutti will continue its expansion in the US with new openings in Miami Brickell and New York Soho and will launch its first stores in Denmark and Norway. Pull&Bear will launch in Denmark. Zara Home will open its first stores in Ireland and Norway. Lefties will continue its expansion with its first stores in the UK and France.

The rollout of our soft tag alarm technology across stores continues to progress. This initiative complements the Assisted Checkout programme and further strengthens our in-store technology ecosystem. It is delivering a meaningful enhancement to the customer experience by facilitating product interaction and streamlining the purchasing process. The hardware is now in 100% of our physical stores and the new technology will be implemented in 90% of products across all our formats in the Spring/Summer collections 2026.

The improved experience also extends to our online customers. Since mid-December, Zara Try-on permits a more seamless experience for our customers by generating images through artificial intelligence. It is an AI-based virtual fitting system that allows customers to create a synthetic avatar from their own photos and generate images of that avatar wearing real products. Currently deployed in 43 markets with over 7 million sessions, it operates exclusively on Zara.com and is being rolled out to the other concepts.

/ Sustainability

Water

In 2025, we reached our target by achieving a 26% reduction in water consumption across our supply chain compared to 2020 levels.

Fibres

88% of the textile fibres used during 2025 in our garments were classified as lower impact fibres. 47% of the total fibres used were sourced from recycled materials. We remain on track toward our goal of reaching 100% lower-impact textile fibre usage by 2030.

Emissions

Through the execution of our Supply Chain Environmental Transformation Plan, we reduced total Scope 1, 2 and 3 emissions covered by our Science-Based Targets (SBT) by 11% compared to our 2018 baseline. This includes an 88% reduction in Scope 1 and 2 emissions and a 7% reduction in Scope 3 emissions.

/ People

We continue to focus on attracting top talent thanks to dedicated teams who embrace our culture and values. A key factor in this is our commitment to training (3.4 million hours in 2025), which has allowed us to fill 80% of vacancies through the internal promotion of 9,100 of our professionals.

Outlook: Strong commitment to profitable growth

Inditex operates in 214 markets. We enjoy a low market share in a sector which remains highly fragmented. This is where the long-term growth opportunity lies. We aim to build upon the significant growth of the business seen in recent years with the launch of various initiatives.

The extraordinary two-year investment programme focused on the expansion of the business allocated €900 million per year to increase logistics capacities in each of the 2024 and 2025 financial years, with the objective of strengthening our capabilities to address strong global growth opportunities in the medium and long term.

Optimisation of stores is ongoing, and we expect this to drive further gains in store productivity. The growth of annual gross space in 2026 is expected to be around 5%. Inditex expects space contribution to sales to be positive in this period, accompanied by strong online sales.

In order to continue underpinning the long-term growth of Inditex, we are planning investments that will increase the competitive differentiation of the Group. We estimate ordinary capital expenditure of around €2.3 billion in 2026. This investment will be mainly dedicated to the optimisation of our commercial space, its technological integration and the improvement of our online platforms.

At current exchange rates, Inditex expects a -1% currency impact on sales in 2026.

For 2026, Inditex expects a stable gross margin (+/-50 bps).

R&D+I activities

The Inditex Group carries out research, development and innovation activities in all areas of its business with the aim of improving the manufacturing and distribution processes and developing technologies that facilitate business management, either using its own resources or with the help of third parties. In particular, we highlight the activity of designing clothing, accessories and household items, logistics and those related to sustainability, to technology linked to point-of-sale terminals, to administration and inventory management systems, to delivery systems at distribution centres, to communication with stores, to garment labelling and, finally, to the activity linked to the digital transformation of the business.

Acquisition and sale of treasury shares

During the Annual General Meeting held on 13 July 2021, shareholders approved the 2021-2025 Long-Term Incentive Plan (Note 26 of the Notes to the consolidated annual accounts for 2021). Similarly, the Annual General Meeting held on 11 July 2023 approved the 2023-2027 Long-Term Incentive Plan (Note 27 to the consolidated annual accounts for 2023), and authorised the Board of Directors to derivatively acquire treasury shares, to cater for these plans. The Annual General Meeting held on 15 July 2025 approved a new 2025-2029 Long-Term Incentive Plan.

As at 31 January 2025, the Parent owned a total of 1,905,846 treasury shares, representing 0.061% of the share capital.

During the first quarter of 2025, the Company proceeded to settle the second cycle (2022-2025) of the 2021-2025 Plan (accrued and completed on 31 January 2025) and to award shares to its participants. The total of treasury shares delivered was 1,620,614 shares, representing 0.052% of the share capital.

Aside from these share deliveries, there were no other operations involving treasury shares in 2025.

Consequently, at 31 January 2026, the Parent owned a total of 285,232 treasury shares, representing 0.009% of the share capital.

On 4 February 2026, the Board of Directors approved a new Share Buyback Programme, for up to 3,000,000 shares representing 0.096% of the Parent's share capital on the announcement date, to meet its obligations to deliver shares deriving from the cycles of the various Long-Term Incentive Plans in place (Note 27 consolidated annual accounts). The Annual Corporate Governance Report for 2025 includes information on the aforementioned Share Buyback Programme.

Other salient information

Stock market information

The Inditex share price closed 2025 at 55.00 euros per share on 31 January 2026, presenting an increase of 4%. The average daily trading volume was approximately 2.4 million shares. In the same period, the Ibex 35 was up by 45% while the Dow Jones Stoxx 600 Retail rose by 8%.

Inditex's market capitalisation stood at 171,416 million euros at the end of the period, up 1.871% on its capitalisation when its shares were admitted to trading on 23 May 2001, as compared with a 86% increase in the Ibex 35 index in the same period.

The dividend for 2024 totalling 1.68 euros per issued share was paid in May and November 2025.

Dividends policy

The dividends paid by the Parent in 2025 and 2024 amounted to 5,235 million euros and 4,797 million euros, respectively. These amounts correspond to payments of 1.68 euros per share and 1.54 euros per share, respectively.

Inditex's dividend policy consists of a 60% ordinary payout and bonus dividends. For 2025, the Board of Directors will propose at the AGM a dividend of €1.75 per share, composed of an ordinary dividend of €1.20 and a bonus dividend of €0.55 per share. The dividend will be made up of two equal payments: On 4 May 2026 a payment of €0.875 per share (ordinary interim). On 2 November 2026 a payment of €0.875 per share (€0.325 ordinary + €0.550 bonus).

The distribution proposed by the Board of Directors is shown in Note 29 to the consolidated annual accounts.

Other disclosures

Related party transactions

Transactions with related parties are described in Note 28 and Note 30 to the consolidated annual accounts. The Group did not carry out any related party transactions during the year that substantially affected its financial position or results.

Information on average payment periods required by Law 15/2010, of 5 July (as amended by 2nd Final Provision of Act 31/2014, of 3 December, and Act 18/2022, of 28 September)

The Group's supplier payment policy complies with the periods for payment to suppliers set in the late payment legislation in force. The Group is developing measures to try to reduce the payment period in those rare cases in which the established maximum payment period is exceeded. The aforementioned measures will focus on reducing the length of the processes involved in the receipt, verification, acceptance and accounting of invoices (enhancing use of electronic and technological methods) and improving the procedure for incident resolution in this connection.

Annual Corporate Governance Report

The Annual Corporate Governance Report for 2025 is included herein. It is filed with the Spanish National Securities Market Commission (CNMV) as an additional regulatory disclosure on 11 March 2026 and is available at www.inditex.com and on the CNMV website (www.cnmv.es).

Annual Report on Remuneration of Directors

The Annual Report on Remuneration of Directors for 2025 is included herein. It is filed with the Spanish National Securities Market Commission (CNMV) as an additional regulatory disclosure on 11 March 2026 and is available at www.inditex.com and on the CNMV website (www.cnmv.es).

Non-financial and diversity, equality, non-discrimination and disability information

Sections S1 - B.2 Diversity and inclusion [S1-4; S1-9; S1-12] and S1 - B.3 Equal pay and remuneration policy [S1-10; S1-16] of the Group's Consolidated Statement of Non-Financial Information and Sustainability Information include further details on diversity, equality, non-discrimination and disability.

Alternative performance measures

The gross profit, EBITDA, EBIT, working capital, net financial position, average net financial debt, ROCE, ROE, quarterly results, sales growth at constant exchange rates and free cash flow, are defined in Note 2 to the consolidated annual accounts for 2025.

Certain information contained in this document may include forward-looking information or statements regarding intentions, expectations, estimates or forecasts of a future nature. Any statements that are not based on historical information should be considered forward-looking statements, including, without limitation, those relating to the Group's financial position, business strategy, management plans and operating objectives. Such statements are based on the Company's best expectations as of the date of issuance of this document and on the information available at that time, and do not constitute any guarantee as to the achievement of the results or future events to which they refer.

Forward-looking statements are subject to risks, uncertainties and other relevant factors that could cause actual developments and results to differ, possibly materially, from those expressed or implied in

such statements. Accordingly, readers are expressly cautioned not to place undue reliance on these forward-looking statements.

Risk factors that may affect such forecasts include, but are not limited to: (i) financial risks, such as the evolution of macroeconomic conditions in the various geographies where the Group operates, fluctuations in market factors (including exchange rates, interest rates, and raw material prices, among others), the financial solvency of counterparties or the competitive environment; (ii) geopolitical risks arising from instability in supply and sales markets or frictions that may affect the logistics chain; (iii) social risks, including changes in the perception that different stakeholders may have of the Group or the industry, the emergence of infectious diseases or the existence of labour disputes; (iv) governance risks, such as legal or regulatory breaches, non-compliance with corporate governance recommendations or deviations from best-practice standards, or the impact of tactical or strategic decisions that prevent the achievement of business

objectives; (v) technology risks, such as cyberattacks, operational failures or incidents affecting critical infrastructures, as well as rapid technological obsolescence; and (vi) environmental risks, including those associated with acute natural hazard events, climate change, the transition towards a low-carbon economy or human interaction with the environment.

The risks and uncertainties that may affect the information provided are, in many cases, difficult to foresee and are generally beyond the Company's control. Therefore, the Company accepts no liability arising from statements regarding forecasts and estimates, except where such liability cannot be limited under applicable law.

The Company also undertakes no obligation to publicly update or review such statements or to communicate any revision that may arise from events or circumstances occurring after the date of their issuance.

Annex II

Income statement: FY2025 quarterly results:

	2025 Quarterly results			
	Q1	Q2	Q3	Q4
Net sales	8,274	10,083	9,814	11,693
Cost of sales	(3,262)	(4,392)	(3,706)	(5,281)
Gross profit	5,011	5,691	6,108	6,412
Gross margin	60.6%	56.4%	62.2%	54.8%
	-4 bps	-5 bps	79 bps	84 bps
Operating expenses	(2,612)	(2,972)	(2,894)	(3,400)
Other losses and income, net	(6)	2	(25)	(47)
Gross operating profit (EBITDA)	2,393	2,721	3,189	2,965
<i>EBITDA margin</i>	28.9%	27.0%	32.5%	25.4%
Amortisation and depreciation	(752)	(790)	(817)	(911)
Net operating profit (EBIT)	1,641	1,931	2,372	2,054
<i>EBIT margin</i>	19.8%	19.2%	24.2%	17.6%
Financial results	5	(17)	(36)	(31)
Results of companies accounted by using the equity method	25	16	27	33
Profit before taxes (PBT)	1,671	1,930	2,362	2,056
<i>PBT margin</i>	20.2%	19.1%	24.1%	17.6%
Income tax	(366)	(444)	(531)	(458)
Net profit	1,305	1,486	1,831	1,598
Minorities	-	-	-	-
Net profit attributable to the Parent	1,305	1,486	1,831	1,598
<i>Net profit margin</i>	15.8%	14.7%	18.7%	13.7%